

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

**REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

CONTENTS

	Page
DIRECTORS' REPORT	1 – 4
STATEMENT BY DIRECTORS	5
STATUTORY DECLARATION	5
REPORT OF THE AUDITORS	6 – 9
STATEMENT OF FINANCIAL POSITION	10
STATEMENT OF COMPREHENSIVE INCOME	11
STATEMENT OF CHANGES IN EQUITY	12
STATEMENT OF CASH FLOWS	13
NOTES TO THE FINANCIAL STATEMENTS	14 – 32

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the financial year ended 31 March 2025.

PRINCIPAL ACTIVITIES

The Company is principally engaged in software development and information technology outsourcing.

RESULTS

	RM
Net profit for the year after taxation, representing total comprehensive income	<u>23,066</u>

DIVIDENDS

No dividends have been paid or declared since the end of the previous financial year. The directors do not recommend any dividend payment in respect of the current financial year.

DIRECTORS

The directors in office during the financial year and during the period from the end of the financial year to the date of the report are:-

Jacob Pillay	(Resigned on 12/09/24)
Nair Harish Aravindakshan	(Resigned on 12/04/25)
Pradeep Kizhakkethil	(Appointed on 11/04/25)
Changappa Lakkapanda Monnappa	(Appointed on 11/04/25)
Taibah Binti Abdul Rahman @ Ling Kiong	

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, none of the Directors who held office at the end of the financial year held any shares or debentures in the Company or its holding company during the financial year.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no director of the Company has received or become entitled to receive any benefit (other than the directors' emoluments as disclosed in the notes to the financial statements) by reason of a contract made by the Company or by a related corporation with the director, or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

DIRECTORS' REPORT

DIRECTORS' BENEFITS – CONT'D

Neither during nor at the end of the financial year, was the Company a party to any arrangement whose object is to enable the directors to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

DIRECTORS' REMUNERATION

None of the directors of the Company have received any remuneration or any other benefits otherwise than in cash from the Company during the year.

INDEMNITY AND INSURANCE FOR DIRECTORS AND OFFICERS

There were no indemnity given to or insurance effected for any directors, officers and auditors of the Company in accordance with Section 289 of the Companies Act 2016.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the current financial year other than those disclosed in the financial statements.

ISSUE OF SHARES

The Company did not issue any new shares during the financial year.

SHARE OPTIONS

No options have been granted by the Company to any parties during the financial year to take up unissued shares of the Company.

No shares have been issued during the financial year by virtue of the exercise of any option to take up unissued shares of the Company. As at the end of the financial year, there were no unissued shares of the Company under options.

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps:

- (a) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts, and are satisfied that there were no bad and doubtful debts; and

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

DIRECTORS' REPORT

OTHER STATUTORY INFORMATION – CONT'D

Before the financial statements of the Company were prepared, the directors took reasonable steps: - Cont'd

- (b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the values of current assets as shown in the accounting records of the Company had been written down to an amount which the current assets might be expected so to realise.

At the date of this report, the directors of the Company are not aware of any circumstances:

- (a) which would render it necessary to write off bad debts or the making of allowance for doubtful debts; or
- (b) which would render the values attributed to the current assets in the financial statements of the Company misleading; or
- (c) which have arisen which would render adherence to the existing methods of valuation of assets or liabilities of the Company misleading or inappropriate.

At the date of this report, there does not exist:

- (a) any charge on the assets of the Company that has arisen since the end of the financial year which secures the liabilities of any other person; or
- (b) any contingent liability in respect of the Company that has arisen since the end of the financial year.

No contingent or other liability of the Company has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

At the date of this report, the directors are not aware of any circumstances, not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements of the Company misleading.

In the opinion of the directors:-

- (i) the result of the Company's operations during the financial year was not substantially affected by any item, transaction or event of a material and unusual nature; and
- (ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

AUDITORS

The auditors, Mustapha, Khoo & Co., have indicated their willingness to continue in office.

AUDITORS' REMUNERATION

	RM
Auditors' remuneration	
- Current year	11,800
- Under provision in prior year	<u>1,800</u>

Signed on behalf of the Board, as approved by the Board in accordance with a resolution of the Directors,



Pradeep Kizhakkethil
Director



Changappa Lakkapanda Monnappa
Director

Dated: 02 JUL 2025

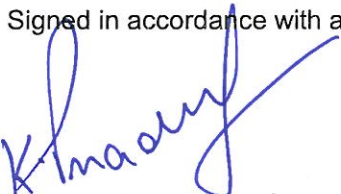
Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS
Pursuant to Section 251(2) of the Companies Act 2016

We, Pradeep Kizhakkethil and Changappa Lakkapanda Monnappa, being two of the directors of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do hereby state that, in the opinion of the directors, the financial statements set out on pages 10 to 32 are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2025 and financial performance of the Company for the financial year ended 31 March 2025 in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016.

Signed in accordance with a resolution of the Directors,


Pradeep Kizhakkethil
Director


Changappa Lakkapanda Monnappa
Director

Dated: - 2 JUL 2025

STATUTORY DECLARATION
Pursuant to Section 251(1)(b) of the Companies Act 2016

I, Pradeep Kizhakkethil, being the director primarily responsible for the financial management of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do solemnly and sincerely declare that the financial statements set out on pages 10 to 32 are, to the best of my knowledge and belief, correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Notaries Act 1952.

Subscribed and solemnly
declared by the abovenamed
at Bengaluru ✓

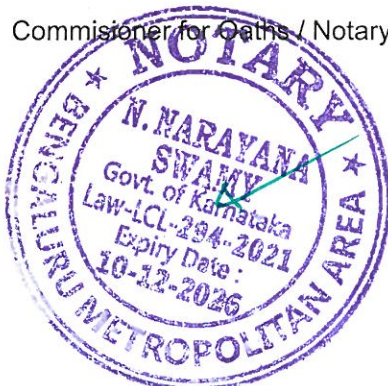
02 JUL 2025

)
)
)
)

Pradeep Kizhakkethil
Director

Before me,

Commissioner for Oaths / Notary Public



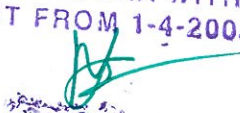
SWORN TO BEFORE ME


N. NARAYANA SWAMY, B.A., LL.B.
ADVOCATE & NOTARY
17, Sri gandha Nilaya, Govindappa Layout
1st Cross, R.M.V. II Stage, Nagashettihalli,
BANGALORE - 560 094.
Mob : 94482 26205

Page 5 NOTARY STAMP ARE
NOT SUPPLIED BY GOVT.
OF KARNATAKA WITH
EFFECT FROM 1-4-2003

- 2 JUL 2025

No. of Corrections 1


NOTARY



Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of MINDTECK SOFTWARE MALAYSIA SDN. BHD., which comprise the statement of financial position as at 31 March 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the financial year then ended, and a summary of significant accounting policies, as set out on pages 10 to 32.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2025, and of its financial performance and its cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the information included in the directors' report but does not include the financial statements of the Company and our auditors' report thereon.



Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

Information Other than the Financial Statements and Auditors' Report Thereon – Cont'd

Our opinion on the financial statements of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

Auditors' Responsibilities for the Audit of the Financial Statements – Cont'd

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



MUSTAPHA, KHOO & CO (AF:0599)
Chartered Accountants, Audit & Assurance

No. 30-4 & 32-4, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park, Off Jalan Kuchai Lama,
58200 Kuala Lumpur, Malaysia.
☎ 603 7981 3337 (4 lines)
🌐 www.mustaphakhoo.com ✉ info@mustaphakhoo.com / mkk@mustaphakhoo.com

 **PrimeGlobal**
*An Association of
Independent Accounting Firms*

Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the contents of this report.



Mustapha, Khoo & Co
AF: 0599
Chartered Accountants



Khoo Siong Kee
No. 00791/04/2026 J
Chartered Accountant

Dated: **02 JUL 2025**
Kuala Lumpur



Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2025

	Note	2025 RM	2024 RM
ASSETS			
NON-CURRENT ASSETS			
Plant and equipment	6	113,142	156,449
Right-of-use assets	7	25,587	35,880
		<u>138,729</u>	<u>192,329</u>
CURRENT ASSETS			
Trade and other receivables	8	6,703,171	5,709,189
Amount due from related companies	9	319,165	306,484
Current tax assets		46,021	40,472
Cash and bank balances	10	1,282,205	1,671,119
		<u>8,350,562</u>	<u>7,727,264</u>
TOTAL ASSETS		<u>8,489,291</u>	<u>7,919,593</u>
EQUITY AND LIABILITIES			
EQUITY			
Share capital	11	250,000	250,000
Retained profits	12	5,484,994	5,461,928
TOTAL EQUITY		<u>5,734,994</u>	<u>5,711,928</u>
NON-CURRENT LIABILITY			
Lease liabilities	13	-	829
CURRENT LIABILITIES			
Other payables		2,362,196	1,797,783
Amount due to a related company	9	30,606	106,978
Amount due to holding company	14	334,682	265,373
Lease liabilities	13	26,813	36,702
		<u>2,754,297</u>	<u>2,206,836</u>
TOTAL LIABILITIES		<u>2,754,297</u>	<u>2,207,665</u>
TOTAL EQUITY AND LIABILITIES		<u>8,489,291</u>	<u>7,919,593</u>

The accompanying notes form an integral part of these financial statements.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2025

	Note	2025 RM	2024 RM
Revenue	15	20,565,821	19,587,863
Cost of sales	16	(17,758,477)	(17,169,640)
Gross profit		<u>2,807,344</u>	<u>2,418,223</u>
Other income	17	59,692	99,703
Total income		<u>2,867,036</u>	<u>2,517,926</u>
Administrative and operating expenses	18	(2,731,700)	(1,751,482)
Profit before finance cost and taxation		<u>135,336</u>	<u>766,444</u>
Finance cost	20	(6,902)	(7,623)
Profit before taxation		<u>128,434</u>	<u>758,821</u>
Taxation	21	(105,368)	(113,941)
Net profit for the year after taxation, representing total comprehensive income		<u><u>23,066</u></u>	<u><u>644,880</u></u>

The accompanying notes form an integral part of these financial statements.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2025

	Share capital RM	Retained profits RM	Total RM
<u>2025</u>			
As at 1 April 2024	250,000	5,461,928	5,711,928
Total comprehensive income	-	23,066	23,066
As at 31 March 2025	<u>250,000</u>	<u>5,484,994</u>	<u>5,734,994</u>
<u>2024</u>			
As at 1 April 2023	250,000	4,817,048	5,067,048
Total comprehensive income	-	644,880	644,880
As at 31 March 2024	<u>250,000</u>	<u>5,461,928</u>	<u>5,711,928</u>

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2025

	Note	2025 RM	2024 RM
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		128,434	758,821
Adjustments for:			
Depreciation of plant and equipment		51,437	50,018
Depreciation of right-of-use assets		50,923	54,594
Gain on disposal of plant and equipment		(125)	-
Gain on lease termination		(278)	-
Interest income		(814)	(1,910)
Lease interest expense		6,902	7,623
Unrealised foreign exchange gain		(393)	(12,276)
Operating profit before changes in working capital		236,086	856,870
Changes in working capital:			
Increase in trade and other receivables		(993,982)	(1,438,209)
Increase in amount due from related companies		(12,681)	(161,256)
Increase in other payables		565,416	529,852
(Decrease) / Increase in amount due to a related company		(76,372)	10,895
Increase in amount due to holding company		69,702	129,773
Net cash used in operating activities		(211,831)	(72,075)
Interest received		814	1,910
Interest paid		(6,902)	(7,623)
Tax paid		(163,942)	(127,500)
Tax refund		52,022	-
Net cash used in operating activities		(329,839)	(205,288)
CASH FLOWS FROM INVESTING ACTIVITIES			
Proceed from disposal of plant and equipment		125	-
Purchase of plant and equipment		(8,130)	(42,564)
Lease liabilities paid		(51,070)	(53,049)
Net cash used in investing activities		(59,075)	(95,613)
Net decrease in cash and cash equivalents		(388,914)	(300,901)
Cash and cash equivalents at the beginning of the year		1,671,119	1,972,020
Cash and cash equivalents at the end of the year		1,282,205	1,671,119
CASH AND CASH EQUIVALENTS COMPRISE:-			
Cash and bank balances	10	1,282,205	1,671,119

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

1. PRINCIPAL ACTIVITIES AND GENERAL INFORMATION

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a limited company, incorporated and domiciled in Malaysia. The registered office of the Company is situated at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Teknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

The principal place of business of the Company is located at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Teknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

All the amounts stated in the financial statements are in Ringgit Malaysia.

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 2 July 2025.

2. HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

3. BASIS OF PREPARATION

(a) Statement of Compliance

The financial statements of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

(b) Adoption of amendments to MFRSs

The Company had adopted the following amendments to MFRSs for the current financial year:-

Amendments to MFRSs

MFRS 9	Financial Instruments
MFRS 16	Leases
MFRS 101	Presentation of Financial Statements
MFRS 107	Statement of Cashflows
MFRS 121	Lack of Exchangeability

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

3. BASIS OF PREPARATION – CONT'D

(b) Adoption of amendments to MFRSs – Cont'd

The adoption of the above amendments to MFRSs did not have any material impact on the financial statements of the Company and did not result in significant changes to the Company's existing accounting policies.

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective

- (i) The Company have not adopted the following new MFRS and amendments to MFRSs that have been issued, but are yet to be effective:

		Effective for financial periods beginning on or after
<u>New MFRSs</u>		
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
<u>Amendments to MFRSs</u>		
MFRS 7 and MFRS 9	Amendments to Classification and Measurement of Financial Statements	1 January 2026
MFRS 7 and MFRS 9	Amendments to Contracts Referencing Nature-Dependent Electricity	1 January 2026
MFRS 10 and MFRS 128	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
MFRS 121	The Effects of Changes in Foreign Exchange	1 January 2025
Annual Improvements to MFRS Accounting Standards - Vol 11		1 January 2026

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

3. BASIS OF PREPARATION – CONT'D

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective – Cont'd

- (ii) The Company plan to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below.

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures

These narrow scope amendments to MFRS 9 clarify the classification and measurement requirements, including:

- clarify how the contractual cash flows on financial assets with environmental, social and corporate governance and similar features should be assessed, specifically the assessment of interest focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation the entity receives may indicate that it is being compensated for something other than basic lending risks and costs.
- clarify the date on which a financial asset or a financial liability settled via electronic payment systems is derecognised. The Amendments permit an entity to derecognise a financial liability before it delivers cash on the settlement date if specified criteria are met.

Amendments to MFRS 7 introduces new disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that do not relate directly to basic lending risks and costs.

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 replaces MFRS 101 Presentation of Financial Statements. It retains many requirements from MFRS 101 without modification.

MFRS 18 introduces two subtotals which are to be presented in the statement of profit or loss - including "operating profit", which has been specifically defined. Income and expenses shall be presented in five categories: operating, investing, financing, income taxes and discontinued operations.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

3. BASIS OF PREPARATION – CONT'D

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective – Cont'd

- (ii) The Company plan to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below. – Cont'd

MFRS 18 Presentation and Disclosure in Financial Statements – Cont'd

MFRS 18 requires disclosure of explanations of the entity's company-specific measures that are related to the statement of profit or loss, referred to as management-defined performance measures ("MPMs"). The entity is required to reconcile MPMs to a total or subtotal required by MFRS 18 or another MFRS Accounting Standards. MFRS 18 also requires other disclosures, including how each MPM is calculated, what the MPM communication about the entity's financial performance, and any changes made to the MPMs in the year.

MFRS 18 adds new principles for aggregation and disaggregation of information. It requires the entity to classify the expenses in the "operating" category in the profit or loss by nature or function, or both. The entity that classifies operating expenses by functions are required to disclose in the notes to the financial statements, the amount of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventories included in each line in the operating category. Subject to materiality, MFRS 18 requires items presented or disclosed as "other" to be labelled and/or described in as faithfully representative and precise a way as possible.

- (iii) The Company are currently performing analysis to quantify the financial effects arising from adoption of the new MFRS and amendments to MFRSs.

(d) Basis of measurement

The financial statements of the Company have been prepared on the historical cost basis, except as otherwise disclosed.

(e) Functional and presentation currency

The financial statements are presented in Ringgit Malaysia (RM), which is also the Company's functional currency.

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency (foreign currencies) are recorded in the functional currencies using the exchange rates prevailing at the dates of the transactions. At each reporting date, monetary items denominated in foreign currencies are translated at the rates prevailing on the reporting date.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

3. BASIS OF PREPARATION – CONT'D

(e) Functional and presentation currency – Cont'd

Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

Exchange differences arising on the settlement of monetary items, and on the translation of monetary items, are included in profit or loss for the financial period. Exchange differences arising on the translation of non-monetary items carried at fair value are included in profit or loss for the financial year except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised directly in equity. Exchange differences arising from such non-monetary items are also recognised directly in equity.

The principal closing rates used in the translation of foreign currency amounts are as follows:

	2025	2024
	RM	RM
1 US dollar	4.432	4.721
1 Singapore dollar	<u>3.306</u>	<u>3.499</u>

4. MATERIAL ACCOUNTING POLICY INFORMATION

(a) Plant and equipment and depreciation

Plant and equipment (other than right-of-use assets) are measured at cost less accumulated depreciation and any accumulated impairment losses.

All other property, plant and equipment (other than right-of-use assets) are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives using the following annual rates:

Office equipment	5 years
Furniture and fittings	5 years
Computers	2 years
Leasehold improvement	5 years

(b) Leases

Lessee accounting

The Company presents right-of-use assets and lease liabilities that do not meet the definition of investment property as separate lines in the statements of financial position.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

4. MATERIAL ACCOUNTING POLICY INFORMATION – CONT'D

(b) Leases – Cont'd

Lessee accounting – Cont'd

Short-term leases and leases of low value assets

The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. Accordingly, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

Right-of-use assets

The right-of-use assets (other than leasehold land that measures using revaluation model) are measured at cost less accumulated depreciation and any accumulated impairment losses and adjust for any remeasurement of the lease liabilities.

Leasehold lands are measured at fair value, based on valuations by external independent valuers, less accumulated depreciation on buildings and any impairment losses recognised after the date of revaluation. Valuations are performed with sufficient regularity to ensure that the fair value of the leasehold land does not differ materially from the carrying amount. The gross carrying amount is restated and the difference compared to the revalued amount of asset is absorbed by the accumulated depreciation.

The right of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease liabilities

The lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate.

The Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

(c) Revenue recognition

Revenue from contracts with customers is recognised by reference to each distinct performance obligation in the contract with customer. Revenue from contracts with customers is measured at its transaction price, being the amount of consideration which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, net of taxes, return, rebates and discounts.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

4. MATERIAL ACCOUNTING POLICY INFORMATION – CONT'D

(c) Revenue recognition – Cont'd

Transaction price is allocated to each performance obligation on the basis of the relative standalone selling prices of each distinct good or services promised in the contract. Depending on the substance of the contract, revenue is recognised when the performance obligation is satisfied, which may be at a point in time or over time.

The Company recognises revenue when or as it transfers control over a product or service to customer. An asset is transferred when (or as) the customer obtains control of the asset.

An entity transfers control of a good or service overtime and, therefore, satisfies a performance obligation and recognises revenue over time. If a performance obligation is not satisfied over time, an entity satisfies the performance obligation and recognises revenue at a point in time.

(d) Financial instruments

(i) Financial assets - subsequent measurement and gains and losses

Debt instruments at amortised cost

The Company subsequently measure these assets at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

(ii) Financial liabilities - subsequent measurement and gains and losses

The Company classify the financial liabilities at amortised cost or fair value through profit or loss. Financial liabilities are classified as fair value through profit or loss if it is classified as held for trading, it is a derivative, it is contingent consideration of an acquirer in a business combination or it is designated as such on initial recognition. Financial liabilities at fair value through profit or loss are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss.

The Company subsequently measure other financial liabilities at amortised cost under the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated by the Directors and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and assumptions that affect the application of the Company's accounting policies and have a significant risk of causing a material adjustment to the carrying amounts of assets, liabilities, income and expenses are outlined below:-

(i) Depreciation of plant and equipment

The cost of plant and equipment is depreciated on the straight-line basis over the assets' useful lives. The management estimates the range of useful lives of these plant and equipment to be 2 to 5 years. However, any changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised.

(ii) Impairment of receivables

The Company makes impairment of receivables based on an assessment of the recoverability of the receivables. Impairment is applied to receivables where events or changes in circumstances indicate that the carrying amounts may not be recoverable. The management specifically analyses historical bad debt, customer concentration, customer creditworthiness, current economic trends and changes in customer payment terms when making a judgment to evaluate the adequacy of impairment of receivables. Where expectations differ from the original estimates, the differences will impact the carrying value of receivables.

(iii) Income taxes

There are certain transactions and calculations for which the ultimate tax determination may be different from the initial estimate. Tax liabilities are recognised based on the Company's understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business.

Where the final outcome is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period in which such determination may be different from the initial estimate.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

6. PLANT AND EQUIPMENT

	Office equipment RM	Furniture and fittings RM	Computers RM	Leasehold improvement RM	Total RM
Net carrying amount as at 1 April 2023	30,267	37,143	14,008	82,485	163,903
Additions	8,449	-	34,115	-	42,564
Depreciation charge	(7,992)	(7,881)	(16,776)	(17,369)	(50,018)
Net carrying amount as at 31 March 2024	30,724	29,262	31,347	65,116	156,449
Additions	-	-	7,200	930	8,130
Disposal	-	-	-	-	-
Depreciation charge	(7,994)	(7,881)	(18,100)	(17,462)	(51,437)
Net carrying amount as at 31 March 2025	22,730	21,381	20,447	48,584	113,142
Net carrying amount as at 31 March 2024					
Cost	49,542	102,659	96,765	86,850	335,816
Accumulated depreciation	(18,818)	(73,397)	(65,418)	(21,734)	(179,367)
Net carrying amount	30,724	29,262	31,347	65,116	156,449
Net carrying amount as at 31 March 2025					
Cost	44,862	89,985	67,891	87,780	290,518
Accumulated depreciation	(22,132)	(68,604)	(47,444)	(39,196)	(177,376)
Net carrying amount	22,730	21,381	20,447	48,584	113,142

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

7. RIGHT-OF-USE ASSETS

	Building RM
Net carrying amount as at 1 April 2023	794
Additions	89,680
Depreciation charge	(54,594)
Net carrying amount as at 31 March 2024	<u>35,880</u>
Additions	43,864
Disposal	(3,234)
Depreciation charge	(50,923)
Net carrying amount as at 31 March 2025	<u><u>25,587</u></u>

The Company lease a building that run 2 years, with an option to renew the lease after that date.

(i) Extension option

Lease of office building contains extension option exercisable by the Company up to two years before the end of the non-cancellable contract period. Where practicable, the Company seek to include extension option in new lease to provide operational flexibility. The extension option held is exercisable only by the Company and not by the lessor. The Company assess at lease commencement whether it is reasonably certain to exercise the extension option. The Company reassess whether it is reasonably certain to exercise the option if there is a significant event or significant change in circumstances within its control.

(ii) Significant judgement and assumptions in relation to leases

The Company assess at lease commencement by applying significant judgement whether it is reasonably certain to exercise the extension option. The Company consider all facts and circumstances including their past practice and any cost that will be incurred to change the asset if an option to extend is not taken, to help them determine the lease term.

The Company also applied judgement and assumptions in determining the incremental borrowing rate of the respective leases. The Company first determine the closest available borrowing rates before using significant judgement to determine the adjustments required to reflect the term, security, value or economic environment of the respective leases.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

8. TRADE AND OTHER RECEIVABLES

	2025	2024
	RM	RM
Trade receivables	7,333,299	6,387,078
Less: Impairment loss	(794,376)	(794,376)
	<u>6,538,923</u>	<u>5,592,702</u>
Other receivables, deposits and prepayments		
Other receivables	42,526	3,827
Deposits	30,999	30,999
Prepayments	90,723	81,661
	<u>164,248</u>	<u>116,487</u>
Total trade and other receivables	<u>6,703,171</u>	<u>5,709,189</u>

Trade receivables are non-interest bearing and normal credit terms offered by the Company range from 30 days to 90 days (2024: 30 days to 90 days) from the date of invoices.

9. AMOUNT DUE FROM / (TO) RELATED COMPANIES

Amount due from / (to) related companies are unsecured, interest free and repayable on demand.

10. CASH AND BANK BALANCES

	2025	2024
	RM	RM
Cash in hand	2,332	1,098
Cash at banks	1,279,873	1,670,021
	<u>1,282,205</u>	<u>1,671,119</u>

11. SHARE CAPITAL

	Number of ordinary shares			
	2025	2024	2025	2024
	Units	Units	RM	RM
Issued and fully paid:				
At the beginning and				
end of the financial				
year	<u>250,000</u>	<u>250,000</u>	<u>250,000</u>	<u>250,000</u>

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

11. SHARE CAPITAL – CONT'D

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

12. RETAINED PROFITS

The retained profits of the Company are available for distributions by way of cash dividends or dividends in specie. Under the single tier system of taxation, dividends payables to shareholders are deemed net of income taxes. There are no potential income tax consequences that would result from the payment of dividends to shareholders.

13. LEASE LIABILITIES

	2025	2024
	RM	RM
Future lease payments payable:		
- Not later than one year	29,092	39,892
- More than one year to five years	-	900
Total future lease payments	29,092	40,792
Less: Future finance charges	(2,279)	(3,261)
Present value of lease payments	26,813	37,531
 Payment due within 12 months as current	26,813	36,702
Non-current portion	-	829
Total lease liabilities	26,813	37,531

14. AMOUNT DUE TO HOLDING COMPANY

Amount due to holding company is unsecured, interest free and repayable on demand.

15. REVENUE

	2025	2024
	RM	RM
Software development and information technology outsourcing fee	20,565,821	19,587,863

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

16. COST OF SALES

	2025	2024
	RM	RM
Included in the above is the following expense:-		
Staff costs (Note 19)	12,457,743	11,578,722

17. OTHER INCOME

	2025	2024
	RM	RM
Corporate finance fees	58,082	-
Gain on disposal of plant and equipment	125	-
Gain on lease termination	278	-
Interest income	814	1,910
Sundry income	-	85,517
Unrealised foreign exchange gain	393	12,276
	<u>59,692</u>	<u>99,703</u>

18. ADMINISTRATIVE AND OPERATING EXPENSES

	2025	2024
	RM	RM
Included in the above are the following expenses:-		
Auditors' remuneration		
- Current year	11,800	10,000
- Under provision in prior year	1,800	-
Depreciation of plant and equipment	51,437	50,018
Depreciation of right-of-use assets	50,923	54,594
Realised foreign exchange loss	54,115	31,662
Staff costs (Note 19)	767,727	591,880

19. STAFF COSTS

	2025	2024
	RM	RM
Direct cost (Note 16)		
Salaries, bonuses, allowance and welfare	10,965,774	10,287,000
Defined contribution plans	945,606	818,008
Social security contributions	145,996	118,370
Other benefits	400,367	355,344
	<u>12,457,743</u>	<u>11,578,722</u>

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

19. STAFF COSTS – CONT'D

	2025	2024
	RM	RM
<u>Administrative (Note 18)</u>		
Salaries, bonuses and allowance	720,176	540,406
Defined contribution plans	17,865	29,103
Social security contributions	5,858	4,411
Other benefits	23,828	17,960
	<u>767,727</u>	<u>591,880</u>
Number of employees at end of year (excluding directors)	<u>180</u>	<u>135</u>

Staff costs above exclude remuneration of directors of the Company.

20. FINANCE COST

	2025	2024
	RM	RM
Lease interest expense	<u>6,902</u>	<u>7,623</u>

21. TAXATION

	2025	2024
	RM	RM
Current year's provision	37,730	128,842
Under / (Over) provision of taxation in prior year	<u>67,638</u>	<u>(14,901)</u>
	<u>105,368</u>	<u>113,941</u>

A reconciliation of income tax expenses applicable to profit before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

	2025	2024
	RM	RM
Profit before taxation	<u>128,434</u>	<u>758,821</u>
Income tax using Malaysia tax rate at 24%	30,824	182,117
Non-taxable income	(1,409)	(2,946)
Tax effects of non-deductible expenses	8,315	(52,217)
Under / (Over) provision of taxation in prior year	67,638	(14,901)
Others	-	1,888
Tax expense	<u>105,368</u>	<u>113,941</u>

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

22. SIGNIFICANT RELATED PARTY TRANSACTION

The Company has related party relationship with the following parties: -

<u>Name of related party</u>	<u>Relationship</u>
Mindteck (India) Limited	Holding company
Mindteck Singapore Pte. Ltd.	Related company
Mindteck, Inc.	Related company

(a) Significant related party transactions

	2025 RM	2024 RM
Mindteck (India) Limited		
- Corporate finance fee	<u>260,979</u>	<u>260,979</u>
Mindteck Singapore Pte. Ltd.		
- Corporate finance fee	<u>165,194</u>	<u>165,194</u>
Mindteck, Inc.		
- Corporate finance fee	<u>(58,082)</u>	<u>-</u>
Professional fees paid to a Company in which certain directors have interests	<u>-</u>	<u>22,500</u>

The directors are of the opinion that, all the above transactions have been entered into in the normal course of business and have been established on terms and conditions that are not materially different from that obtainable in transactions with unrelated parties.

Information regarding the outstanding balances arising from related party transactions as at 31 March 2025 are disclosed in Note 9 and 14.

23. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

23. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

	2025 RM	2024 RM
<u>Amount due to a related company</u>		
SGD	(31,644)	94,841
USD	<u>62,250</u>	<u>23,032</u>
<u>Amount due to holding company</u>		
USD	<u>334,862</u>	<u>254,107</u>

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

(iii) Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

(iv) Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

23. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(v) Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

(b) Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

(c) Classification of financial instruments

	2025	2024
	RM	RM
<u>Financial assets:</u>		
- Trade and other receivables (excluded prepayments)	6,612,448	5,627,528
- Amount due from a related company	319,165	306,484
- Cash and bank balances	1,282,205	1,671,119
	<u>8,213,818</u>	<u>7,605,131</u>
<u>Financial liabilities:</u>		
- Other payables	2,362,196	1,797,783
- Amount due to a related company	30,606	106,978
- Amount due to holding company	334,682	265,373
- Lease liabilities	26,813	37,531
	<u>2,754,297</u>	<u>2,207,665</u>

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

23. FINANCIAL INSTRUMENTS – CONT'D

(d) Category of financial instruments

	2025 RM	2024 RM
<u>Receivables</u>		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	6,483,193	5,453,512
- Existing customer more than 6 months with no defaults in the past	55,730	139,190
Related parties		
- Related parties less than 6 months with no defaults in the past	281,743	295,307
- Existing customer less than 6 months with no defaults in the past	37,422	11,177
	<u>6,858,088</u>	<u>5,899,186</u>
<u>Cash at banks</u>		
- AAA	<u>1,279,873</u>	<u>1,670,021</u>

(e) Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholders value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust capital structure, the Company may adjust the dividend payment to shareholders or issue new shares, where necessary.

The Company's approach in managing capital is based on defined guidelines that are approved by the Board. No changes were made in the objectives, policies or processes during the financial year.

The Company is not subject to any externally imposed capital requirements.

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025**

23. FINANCIAL INSTRUMENTS – CONT'D

(e) Capital management – Cont'd

The Company monitors capital by reference to its indebtedness position, which is derived from the total financial debts divided by the total equity plus total financial debts. The Company's strategy is to maintain the balance between debt and equity and to ensure sufficient operating cash flows to repay its liabilities as and when they fall due.

FOR MANAGEMENT PURPOSES ONLY

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**DETAILED PROFIT AND LOSS ACCOUNTS
FOR THE YEAR ENDED 31 MARCH 2025**

	2025 RM	2024 RM
Revenue	20,565,821	19,587,863
Cost of sales (APPENDIX I)	(17,758,477)	(17,169,640)
Gross profit	<u>2,807,344</u>	<u>2,418,223</u>
Other income:		
Corporate finance fees	58,082	-
Gain on disposal of plant and equipment	125	-
Gain on lease termination	278	-
Interest income	814	1,910
Sundry income	-	85,517
Unrealised foreign exchange gain	393	12,276
Total income	<u>2,867,036</u>	<u>2,517,926</u>
Administrative and operating expenses (APPENDIX II)	(2,731,700)	(1,751,482)
Profit before finance cost and taxation	<u>135,336</u>	<u>766,444</u>
Finance cost:		
Lease interest expense	(6,902)	(7,623)
Profit before taxation	<u>128,434</u>	<u>758,821</u>
Taxation	(105,368)	(113,941)
Net profit for the year after taxation, representing total comprehensive income	<u>23,066</u>	<u>644,880</u>
Retained profits brought forward	5,461,928	4,817,048
Retained profits carried forward	<u><u>5,484,994</u></u>	<u><u>5,461,928</u></u>

Company No: 200501036816 (718964-U)

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2025

	2025	2024
	RM	RM
Employment pass expenses	48,756	73,040
EPF	945,606	818,008
HRDF	79,587	73,502
Insurance	320,780	281,842
Other factory overhead	320	-
Project supplies	73,105	174,062
Salaries, wages and staff welfare expenses	10,965,774	10,287,000
Socso	145,996	118,370
Sub contractor costs	5,178,553	5,070,953
Transport expenses	-	272,863
	<u>17,758,477</u>	<u>17,169,640</u>

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

**ADMINISTRATIVE AND OPERATING EXPENSES
FOR THE YEAR ENDED 31 MARCH 2025**

	2025	2024
	RM	RM
Audit fee disbursement	1,817	1,331
Auditors' remuneration		
- Current year	11,800	10,000
- Under provision in prior year	1,800	-
Bank charges	14,029	11,893
Bonus	159,159	67,400
Corporate finance fees	799,006	426,173
Depreciation of plant and equipment	51,437	50,018
Depreciation of right-of-use assets	50,923	54,594
Employment pass expenses	1,867	3,177
EPF	17,865	29,103
Hire charges	11,480	22,903
HRDF	1,397	2,494
Insurance	16,882	15,466
Job portal expenses	43,777	80,070
Meals and entertainment	12,887	18,340
Membership	-	5,445
Office repair and maintenance	16,067	17,762
Penalty	3,762	-
Postage and courier	5,458	2,994
Printing and stationery	438	1,017
Professional fees	40,725	43,320
Realised foreign exchange loss	54,115	31,662
Recruitment and placement fee	48,412	41,216
Salary and leave encashment	561,017	473,006
Socso	5,858	4,411
Staff training	5,549	-
Stamping fees	9,371	819
Sundry expenses	465	-
Telephone	25,936	21,057
Travelling expenses	744,157	301,089
Utilities	14,244	14,722
	<u>2,731,700</u>	<u>1,751,482</u>